CASE STUDY

INCREASING SALES AT UBER

Understanding Client Requirements and Developing a Sales Growth Strategy

CASE OBJECTIVE

Translate the broad request “increase sales” into clear business requirements, identify potential causes of lost bookings, propose practical solutions, and define measurable success criteria.

1. Introduction

Uber is a technology-based mobility platform that connects riders with drivers through a mobile application. Customers can request rides, receive fare estimates, track drivers, pay for trips, and provide feedback. In this case study, Uber’s management is treated as the client, and the project team is asked to increase sales in the ride-hailing business.

The first responsibility is not to immediately suggest discounts or advertising. It is to clarify what the client means by sales growth, understand the business context, gather requirements, and use evidence to choose an appropriate solution.

2. Problem Statement

The client has given a broad requirement: “Increase sales.” This request is not specific enough to guide implementation. Sales could refer to more ride requests, more completed rides, higher gross bookings, greater net revenue, or improved profit. The project must clarify the intended outcome and the constraints before recommending changes.

3. Primary Client Requirement

Primary requirement: Increase completed rides and ride-hailing revenue over an agreed period while maintaining customer satisfaction, driver availability, service quality, and economically sustainable operating costs.

4. Stakeholder Requirements

Stakeholder	Main requirement
Uber management	Revenue growth, market performance, and sustainable business results.
Customers	Affordable fares, safety, reliable pickups, short waiting times, and easy booking.
Drivers	Sufficient ride requests, fair earnings, and clear incentive rules.
Marketing team	Effective customer acquisition, targeted promotions, and measurable campaign results.
Operations team	Better driver availability, fewer cancellations, and balanced supply and demand.
Finance team	Controlled promotion costs, clear unit economics, and improved contribution margin.

5. Requirement-Gathering Questions

The business analyst should meet with the client and relevant teams to clarify the following:

- What exactly should increase: ride requests, completed rides, gross bookings, net revenue, or profit?
- What is the target percentage or absolute increase, and by what date?
- What are the main customer complaints: fares, driver availability, waiting time, safety, or app experience?
- Are there locations or time slots with high demand but insufficient drivers?
- What marketing budget and driver-incentive budget are available?
- What privacy, safety, operational, and profitability constraints must the solution respect?
- How will success be measured, and who will approve the results?

6. Assumed Business Challenges

For planning purposes, this case study considers the following possible causes. These are illustrative hypotheses, not verified findings about Uber's current performance; real data must be collected to confirm or reject them.

- **High perceived fares:** Some customers may choose an alternative when the quoted price is above their expectations.
- **Long waiting times:** Customers may abandon a booking or cancel if a driver takes too long to arrive.
- **Uneven driver supply:** Some high-demand areas or time slots may have too few available drivers.
- **Low repeat usage:** Customers may try the service once but not form a regular booking habit.
- **Inefficient promotions:** Broad discounts may reward customers who would have booked anyway, wasting budget.
- **Demand peaks:** Ride requests may fluctuate by location, weather, events, and time of day.

7. Proposed Solutions

7.1 Targeted promotional offers

Offer carefully designed incentives to new users and selected inactive customers. Use eligibility rules, minimum booking values, or limited-time offers where appropriate. Evaluate incremental bookings rather than simply counting coupon redemptions.

7.2 Improve driver availability

Use historical demand patterns to identify busy locations and periods. Where justified, communicate demand hotspots to drivers and test time- or location-based incentives. Monitor driver earnings, wait times, and incentive cost.

7.3 Improve customer retention

Use relevant ride reminders, loyalty benefits, ride bundles, or personalized offers where appropriate. Make sure communications are useful and respect customer preferences.

7.4 Improve the booking experience

Review the booking funnel to identify drop-offs between opening the app, viewing a fare, requesting a ride, receiving a driver match, and completing the trip. Address the most significant friction points.

7.5 Use data-driven marketing

Segment customers by booking frequency, location, and behavior. Compare campaign performance and focus spend on strategies that generate incremental, profitable completed rides.

7.6 Reduce cancellations

Analyze cancellation reasons by rider, driver, location, and time. Test operational changes such as better pickup instructions, improved ETA accuracy, or more effective driver matching.

8. Illustrative Data Analysis

The following figures are hypothetical and are used only to demonstrate how a business analyst could estimate an opportunity.

Metric	Illustrative current value
Monthly ride requests	100,000
Completed rides	80,000
Average fare per completed ride	₹250
Monthly gross bookings	₹2,00,00,000
Cancellation / non-completion rate (simplified)	20%

Example: Reducing the non-completion rate

Assume 100,000 ride requests per month and 80% completion, giving 80,000 completed rides. If a pilot improves completion to 85% while requests remain constant, completed rides would rise to 85,000.

- Current completed rides = 100,000 × 80% = 80,000.
- Expected completed rides = 100,000 × 85% = 85,000.
- Additional completed rides = 85,000 − 80,000 = 5,000.
- Additional gross bookings = 5,000 × ₹250 = ₹12,50,000 per month.

This is an illustrative gross-bookings estimate, not a profit or net-revenue forecast. It assumes that the average fare remains ₹250 and that all additional rides can be served. Driver payouts, incentives, refunds, taxes, and other costs must be considered before estimating net revenue or profitability.

9. Implementation Plan

Phase	Indicative timing	Key activities
1. Research and analysis	Weeks 1–2	Gather baseline data, interview stakeholders, analyze cancellations and booking drop-offs.
2. Strategy design	Week 3	Prioritize interventions, define budget, KPIs, experiment design, and safeguards.
3. Pilot	Weeks 4–6	Test selected offers or operational changes in selected areas and compare against a control group where feasible.
4. Evaluate and scale	Weeks 7–8	Measure incremental impact, cost, customer experience, and contribution; refine or scale successful actions.

10. Key Performance Indicators (KPIs)

KPI	Why it matters
Completed rides	Measures rides actually delivered.
Gross bookings	Measures the total value of completed rides before deductions.
Net revenue and contribution margin	Checks the financial value after relevant deductions and

	variable costs.
Cancellation rate	Indicates lost bookings and friction in the ride process.
Repeat booking / retention rate	Measures whether customers return.
Customer acquisition cost	Tracks the cost of acquiring customers.
Customer satisfaction	Checks that growth does not damage service quality.

11. Proposed Success Criteria

A possible pilot target is to increase completed rides by 10% within eight weeks, while maintaining customer satisfaction and positive incremental contribution. This is a proposed target for the exercise and must be confirmed with the client after reviewing the baseline, budget, and feasibility.

The team should compare pilot results with a baseline and, where feasible, a similar control group. This helps separate the effect of the intervention from normal changes in demand.

12. Risks and Mitigation

Risk	Mitigation
Discounts increase bookings but reduce margin.	Measure incremental contribution, not only bookings; cap and target offers.
Driver incentives raise operating costs.	Pilot incentives in selected areas and compare incremental completed rides with incentive spend.
Demand forecasts are inaccurate.	Review forecasts regularly and use current operational signals alongside historical patterns.
Higher demand worsens waiting times.	Coordinate campaigns with driver supply and monitor ETAs and cancellations.
Customer outreach feels excessive.	Respect notification preferences and use relevant, limited communications.

13. Expected Outcomes

- More completed rides and higher gross bookings.
- Fewer avoidable cancellations and improved pickup reliability.
- Better customer retention and satisfaction.
- More efficient use of marketing and incentive budgets.
- A measurable, repeatable approach to sustainable growth.

14. Conclusion

The Uber case study shows that “increase sales” is a starting point, not a complete requirement. A business analyst must first clarify the client’s goals, understand stakeholder needs, gather and analyze data, identify the causes of lost bookings, and propose solutions that can be tested and measured. Promotions, driver availability, customer retention, and booking-flow improvements are potential strategies, but they should be implemented only after evidence supports them. The final recommendation should be based on incremental completed rides, customer experience, and sustainable financial results.